

SENATE BILL 2687

By Kyle

AN ACT to amend Tennessee Code Annotated, Title 9 and
Title 43, relative to assistance for farmers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 9, Chapter 4, Part 2, is amended by
adding the following as a new section:

9-4-217.

(a) This section is known and may be cited as the Tennessee Agriculture
Recovery and Investment in Family Farm (TARIFF) Relief Act.

(b) As used in this section:

(1) "Family farmer" means a natural person who is a resident of this state
and who owns or leases land in this state that is principally used as a farm; and

(2) "Farm" means a tract of land of at least fifteen (15) acres constituting
a farm unit engaged in the production of growing crops, plants, animals, or
nursery or floral products that produced gross agricultural income averaging at
least one thousand five hundred dollars (\$1,500) per year over the three-year
period immediately preceding the date of a grant application under this section.

(c) There is created a fund within the state treasury to be known as the
Tennessee agriculture recovery and investment in family farm (TARIFF) relief fund. The
fund consists of grants, appropriations by the general assembly, and any other moneys
made available to the department of agriculture for the purposes of such fund from any
other source or sources. It is the legislative intent that the fund also consists of one
hundred thirty million dollars (\$130,000,000) to be transferred from the balance of the
revenue fluctuation reserve in fiscal year 2026-2027.

(d) Moneys deposited in the TARIFF relief fund must be invested for the benefit of the fund pursuant to § 9-4-603.

(e) Any unexpended and unobligated moneys in the TARIFF relief fund at June 30, 2027, must be returned to the revenue fluctuation reserve.

(f) Subject to appropriations and the availability of funds, the department shall use the TARIFF relief fund to provide grants in the amount of up to ten thousand dollars (\$10,000) to family farmers who, on or after April 1, 2025, have been struggling with high input costs and market losses as a result of tariffs on agricultural products, equipment, and machinery, including retaliatory and reciprocal tariffs, whether imposed by the federal government or foreign countries.

(g) The department shall develop and publish an application form for family farmers to apply for grant funds. The application must require a demonstration of need. The department shall establish grant eligibility requirements and award procedures.

(h) The TARIFF relief fund is subject to examination and audit by the comptroller of the treasury.

(i) If a person filing a claim or invoice for a grant or grant funds knowingly makes a false, fictitious, or fraudulent statement or representation, or knowingly submits false, fictitious, or fraudulent documentation or information to the department, then such person is liable under the False Claims Act, compiled in title 4, chapter 18.

(j) Rules may be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, in order to ensure the funds are received and expended for the purposes consistent with this section.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.